30 April 2026

ECB Watch: Prepared to hike in June

Marketing communication

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The ECB kept rates unchanged, but a hike had been debated and unless there is a clear easing in high energy prices or a notable deterioration in the growth outlook, a rate hike in June looks likely. We continue to see a June hike and more later on.

The ECB expectedly kept rates unchanged at 2.0% and retained language about closely monitoring the situation with a data-dependent and meeting-by-meeting approach without pre-committing to a particular rate path**. Both upside risks to inflation and downside risks to growth have intensified, while longer-term inflation expectations remain well anchored.**

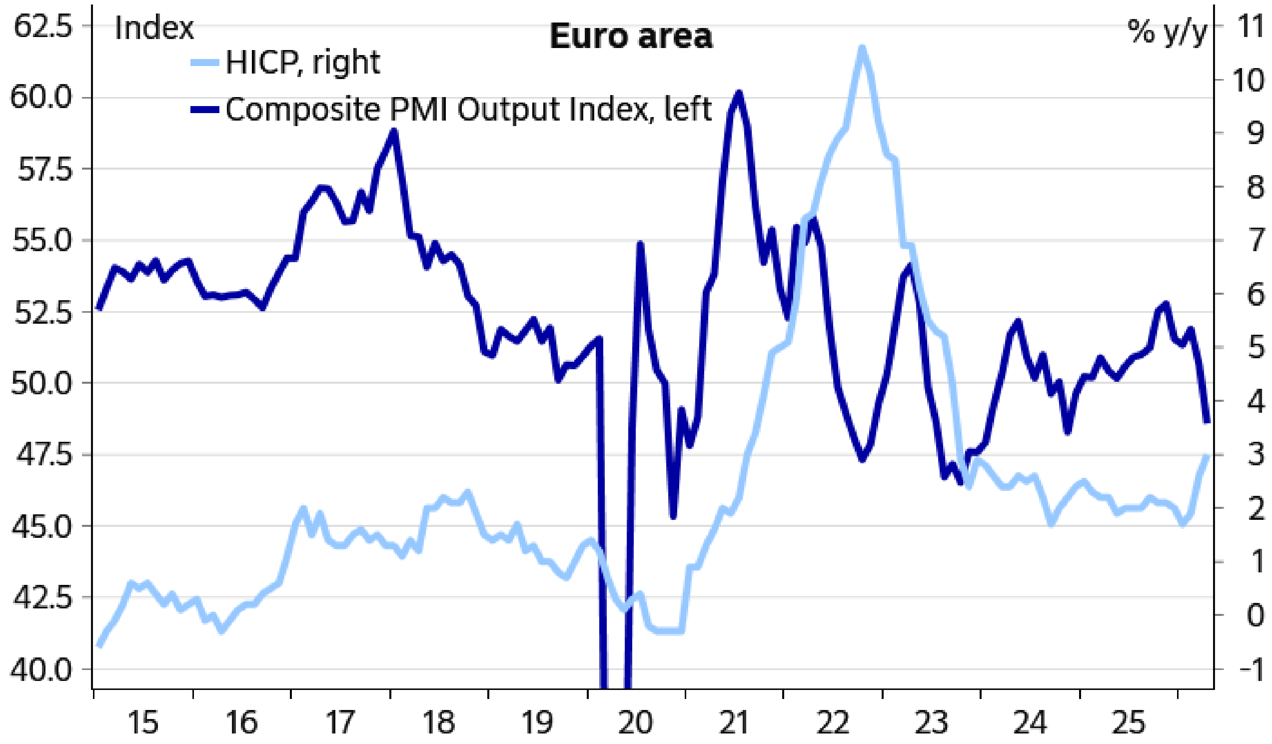
We continue to think the ECB will hike rates by 25bp in June.

The implications of the war for medium-term inflation and economic activity will depend on the intensity and duration of the energy price shock and the scale of its indirect and second-round effects. The longer the war continues and the longer energy prices remain high, the stronger is the likely impact on broader inflation and the economy.

In the Q&A, Lagarde said the ECB is moving away from the March baseline (which implicitly included market expectations of two 25bp rate hikes at the time), **supporting expectations of a hike in June**. The April decision had been an informed decision but with insufficient information, with the debate including the option of hiking rates. In the end, the decision to hold rates had been unanimous. She continued that the Governing Council will have the information needed to make an informed decision at the June meeting, with updated staff forecasts also available at that meeting. **Lagarde also said that directionally, she knows where the ECB is heading, another hint of taking a step towards a rate hike.**

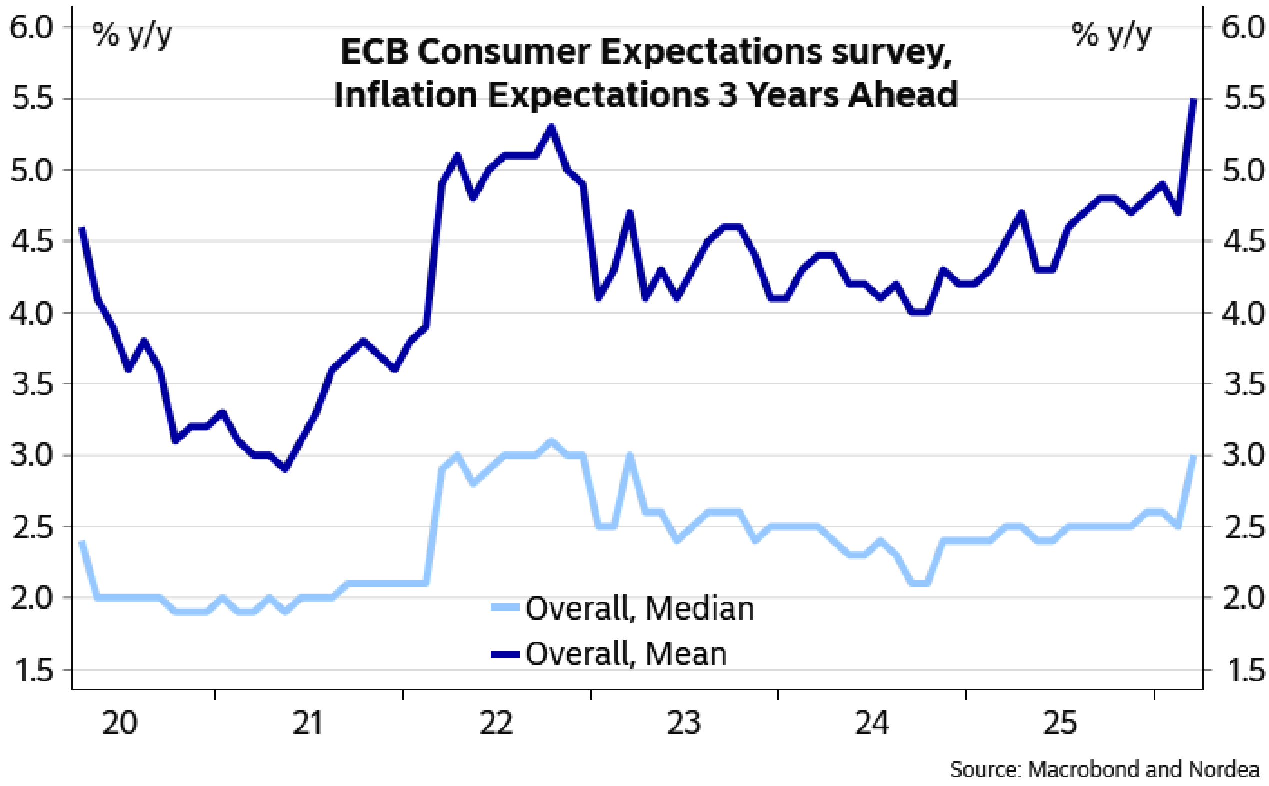
In financial markets, oil prices and rates were falling already heading into the meeting, and the direction did not turn amidst the ECB's message. **A 25bp rate hike for June remains more or less fully in prices, while a total of just below 75bp of hikes is in prices by the end of the year.** For now, the link between energy prices and ECB rate pricing is likely to remain strong, especially as the ECB confirmed that their response depends to a significant extent by the development of energy prices.

Upside risks to inflation have risen while downside risks to growth have intensified

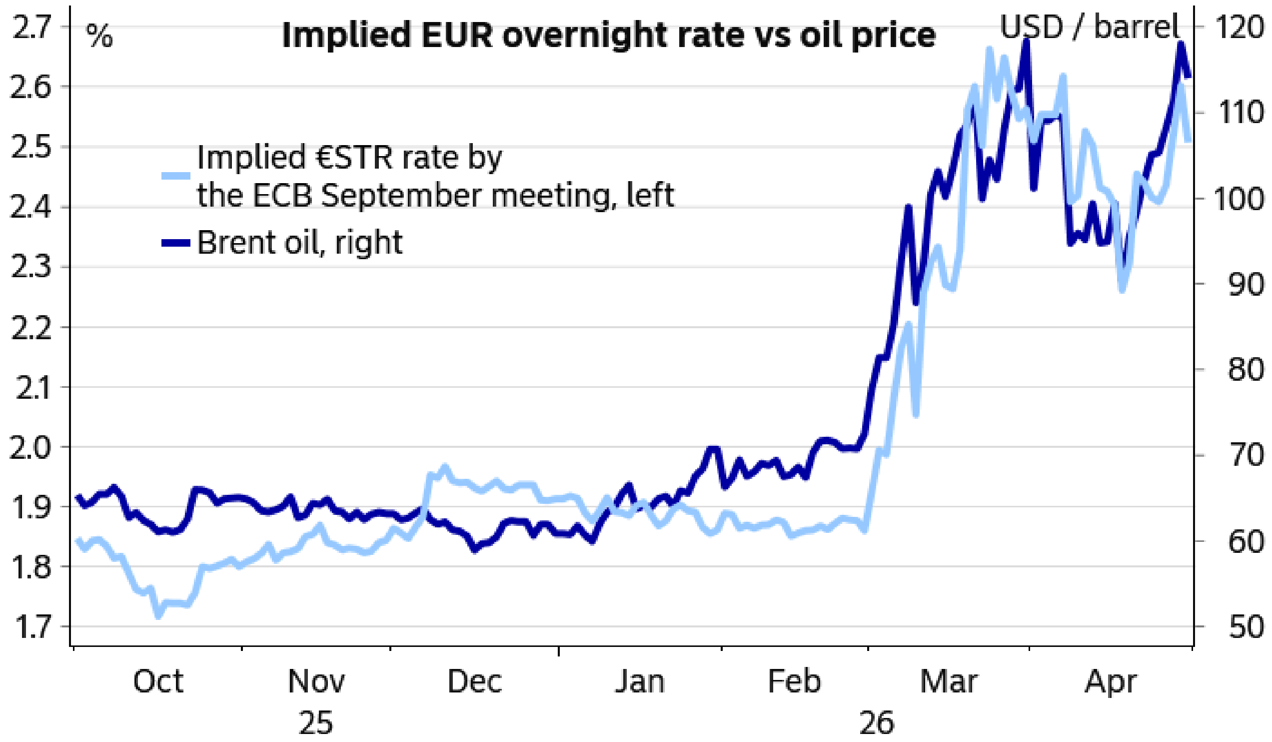


Source: Macrobond and Nordea

Consumers' inflation expectations risen also further out



ECB rate expectations moved in tandem with the oil price



Source: Macrobond, Bloomberg and Nordea

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